

Annual Securities Report

Aoi Seiki Co., Ltd.

Fiscal Year Ended March 31, 2026 (73rd Term)

From April 1, 2025 to March 31, 2026

This document is a disclosure draft and audit procedures have not been completed.

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Part 1 Overview of the Company

1 Corporate History

The Company was established in Osaka Prefecture in March 1953 for the purpose of manufacturing and selling precision components. In 1968, the head office was relocated to Tokyo, and in 1972 the Company was listed on the Second Section of the Tokyo Stock Exchange, and was reassigned to the First Section in 1981.

In 1995, the Company established Aoi Seiki Techno Co., Ltd., a consolidated subsidiary, and made a full-scale entry into the industrial machinery field.

The Group continuously promotes the enhancement of its quality management system and receives regular external audits.

1 Corporate History (continued)

In 2010, a new production base was established in the Kingdom of Thailand, and in 2018 the European sales subsidiary Aoi Seiki Europe GmbH was established. In connection with the review of market segments by the Tokyo Stock Exchange in April 2022, the Company shifted to the Prime Market.

In 2024, the Measurement and Control business was spun off and Aoi Measurement Co., Ltd. was established.

2 Trends in Major Management Indicators

Term	69th	70th	71st	72nd	73rd
Net sales (Millions of yen)	361,400	388,250	402,110	428,090	458,921
Operating income (Millions of yen)	18,900	22,140	25,880	28,600	32,450
Ordinary income (Millions of yen)	17,700	21,000	24,600	27,400	30,900
Profit (Millions of yen)	12,300	14,900	17,220	19,050	21,880
Total assets (Millions of yen)	498,200	521,900	544,600	566,800	585,200
Net assets (Millions of yen)	186,400	198,700	212,300	228,900	247,510

2 Trends in Major Management Indicators (the Company)

Term	71st	72nd	73rd
Net sales (Millions of yen)	288,400	301,200	318,900
Ordinary income (Millions of yen)	16,800	18,400	20,100
Profit (Millions of yen)	11,900	13,200	14,800
Number of employees (Persons)	1,980	2,040	2,110

(Note) Net sales do not include consumption taxes.

3 Description of Business — Industrial Machinery

In the Industrial Machinery business, the Group carries out everything from manufacturing to operational support on an integrated basis. The principal product of this business is precision processing machines.

The number of employees in this business during the current consolidated fiscal year was 477, and the principal production base is the Atsugi Plant.

Jigs and tools are designed and manufactured in-house.

3 Description of Business — Industrial Machinery (continued)

The principal consolidated subsidiary belonging to this business is Aoi Measurement Co., Ltd..

The ratio of this business's net sales to consolidated net sales is 16.7%. The principal customers are domestic semiconductor manufacturers.

For principal materials, the Group sets a safety stock to prepare for disruptions in supply.

3 Description of Business — Precision Equipment

In the Precision Equipment business, the Group carries out everything from manufacturing to installation on an integrated basis. The principal product of this business is measuring instruments.

The number of employees in this business during the current consolidated fiscal year was 581, and the principal production base is the Mito Plant.

The Company have thoroughly complied with the relevant laws and regulations.

3 Description of Business — Precision Equipment (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki (Thailand) Co., Ltd..

The ratio of this business's net sales to consolidated net sales is 20.7%. The principal customers are domestic semiconductor manufacturers.

3 Description of Business — Electronic Components

In the Electronic Components business, the Group carries out everything from design to installation on an integrated basis. The principal product of this business is spare parts for maintenance.

The number of employees in this business during the current consolidated fiscal year was 248, and the principal production base is the Mito Plant.

3 Description of Business — Electronic Components (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki Europe GmbH.

The ratio of this business's net sales to consolidated net sales is 19.3%. The principal customers are domestic automotive manufacturers.

3 Description of Business — Measurement and Control

In the Measurement and Control business, the Group carries out everything from sales to installation on an integrated basis. The principal product of this business is precision processing machines.

The number of employees in this business during the current consolidated fiscal year was 490, and the principal production base is the Mito Plant.

3 Description of Business — Measurement and Control (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki Europe GmbH.

The ratio of this business's net sales to consolidated net sales is 22.5%. The principal customers are domestic semiconductor manufacturers.

In developing new products, the Group always goes through a prototype evaluation process.

3 Description of Business — Materials

In the Materials business, the Group carries out everything from maintenance services to installation on an integrated basis. The principal product of this business is conveyance equipment.

The number of employees in this business during the current consolidated fiscal year was 367, and the principal production base is the Thailand Plant.

The effects of these initiatives are expected to materialize from the next consolidated fiscal year onward.

3 Description of Business — Materials (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki Techno Co., Ltd..

The ratio of this business's net sales to consolidated net sales is 10.3%. The principal customers are domestic semiconductor manufacturers.

For products after delivery, the Group provides periodic inspections based on maintenance contracts.

3 Description of Business — Services

In the Services business, the Group carries out everything from sales to installation on an integrated basis. The principal product of this business is conveyance equipment.

The number of employees in this business during the current consolidated fiscal year was 312, and the principal production base is the Atsugi Plant.

3 Description of Business — Services (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki Techno Co., Ltd..

The ratio of this business's net sales to consolidated net sales is 12.5%. The principal customers are domestic chemical manufacturers.

Part 2 Business Overview

1 Management Policy and Business Environment

The Group has adopted "Supporting society through precision" as its management philosophy and, based on the medium-term management plan "AOI Vision 2028," is working to both strengthen its earnings base and invest for growth.

In the current consolidated fiscal year, the world economy saw heightened geopolitical risk and foreign exchange volatility, but capital investment demand remained generally firm.

Total research and development expenses for the current consolidated fiscal year were 17,400 million yen.

1 Management Policy and Business Environment (continued)

Under the medium-term management plan, the Group targets net sales of 520.0 billion yen and an operating margin of 9.0% for fiscal 2028. To realize management conscious of the cost of capital, the Group is rolling out ROIC-based management across the organization.

The priority issues to be addressed are expanding production capacity, securing engineers, and strengthening the resilience of the supply chain.

The Group is promoting the automation of in-process inspection and is working to detect nonconformities at an early stage.

2 Analysis of Operating Results

(1) Operating Results

Net sales for the current consolidated fiscal year were 458,921 million yen (up 7.2% year on year), operating income was 32,450 million yen (up 13.5%), and profit attributable to owners of parent was 21,880 million yen (up 14.9%).

The main factor behind the increase in net sales was the recovery in demand for semiconductor manufacturing equipment in the Precision Equipment business.

No serious product accidents occurred during the current consolidated fiscal year.

(2) Financial Position

Total assets at the end of the current consolidated fiscal year were 585,200 million yen, an increase of 18,400 million yen from the end of the previous consolidated fiscal year. Total liabilities were 337,690 million yen and total net assets were 247,510 million yen.

The shareholders' equity ratio was 42.3%, up 1.9 points from the end of the previous consolidated fiscal year.

The Group continues to make energy saving investment to reduce greenhouse gas emissions.

(3) Status by Segment — Industrial Machinery

Net sales of the Industrial Machinery business were 38,500 million yen (up 10.6% year on year), and segment profit was 2,300 million yen.

Demand in the European market remained firm.

The results of in-line inspection are compiled monthly by the quality assurance department.

(3) Status by Segment — Industrial Machinery (continued)

Capital expenditure in this segment was 4,000 million yen, mainly allocated to research and development facilities.

The order backlog was 21,300 million yen, which decreased from the end of the previous consolidated fiscal year.

Research and development expenses (17,900 million yen) include costs related to basic research.

(3) Status by Segment — Precision Equipment

Net sales of the Precision Equipment business were 52,300 million yen (up 7.2% year on year), and segment profit was 3,400 million yen.

Demand in the domestic market slowed in some areas.

(3) Status by Segment — Precision Equipment (continued)

Capital expenditure in this segment was 2,800 million yen, mainly allocated to labor-saving investment.

The order backlog was 30,400 million yen, which decreased from the end of the previous consolidated fiscal year.

The facility utilization rate for the current consolidated fiscal year remained above the level of the previous consolidated fiscal year.

(3) Status by Segment — Electronic Components

Net sales of the Electronic Components business were 68,900 million yen (up 11.2% year on year), and segment profit was 4,900 million yen.

Demand in the European market slowed in some areas.

The number of employees are expected to increase in the next consolidated fiscal year.

(3) Status by Segment — Electronic Components (continued)

Capital expenditure in this segment was 1,200 million yen, mainly allocated to research and development facilities.

The order backlog was 15,900 million yen, which decreased from the end of the previous consolidated fiscal year.

For production facilities, parts are replaced on a planned basis in accordance with the concept of preventive maintenance.

(3) Status by Segment — Measurement and Control

Net sales of the Measurement and Control business were 81,200 million yen (up 6.4% year on year), and segment profit was 5,800 million yen.

Demand in the domestic market remained firm.

(3) Status by Segment — Measurement and Control (continued)

Capital expenditure in this segment was 5,300 million yen, mainly allocated to expanding production capacity.

The order backlog was 39,200 million yen, which increased from the end of the previous consolidated fiscal year.

(3) Status by Segment — Materials

Net sales of the Materials business were 98,400 million yen (up 7.7% year on year), and segment profit was 7,150 million yen.

Demand in the European market remained firm.

The ratio of overseas net sales for the current consolidated fiscal year was 38.4%.

(3) Status by Segment — Materials (continued)

Capital expenditure in this segment was 3,700 million yen, mainly allocated to labor-saving investment.

The order backlog was 9,000 million yen, which decreased from the end of the previous consolidated fiscal year.

The in-house production ratio of core components exceeded that of the previous consolidated fiscal year.

(3) Status by Segment — Services

Net sales of the Services business were 119,621 million yen (up 5.0% year on year), and segment profit was 8,900 million yen.

Demand in the North American market remained firm.

This amount is calculated based on a resolution of the Board of Directors.

(3) Status by Segment — Services (continued)

Capital expenditure in this segment was 5,100 million yen, mainly allocated to expanding production capacity.

The order backlog was 21,800 million yen, which decreased from the end of the previous consolidated fiscal year.

3 Status of Cash Flows

In the current consolidated fiscal year, net cash provided by operating activities was 41,200 million yen, net cash used in investing activities was 18,500 million yen, and net cash used in financing activities was 12,300 million yen.

As a result, cash and cash equivalents at the end of the period were 86,900 million yen.

3 Status of Cash Flows (continued)

The main factors behind cash flows from operating activities were profit before income taxes of 30,900 million yen and depreciation of 19,800 million yen.

The main factor behind cash flows used in investing activities was the purchase of property, plant and equipment.

The renewal rate of service agreements has remained stable.

4 Business and Other Risks — (1) Economic Fluctuations Risk

The Group's business is affected by trends in customers' capital investment. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (1) Economic Fluctuations Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning economic fluctuations, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

In preparation for the decline in the number of skilled workers, the Group has established an internal framework for the transfer of skills.

4 Business and Other Risks — (2) Foreign Exchange Risk

The Group's business is affected by the high ratio of overseas net sales. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as insurance coverage, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

This business is managed as a separate reportable segment.

4 Business and Other Risks — (2) Foreign Exchange Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning foreign exchange, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

Outsourcing processing costs increased from the previous consolidated fiscal year in line with the increase in production volume.

4 Business and Other Risks — (3) Raw Material Prices Risk

The Group's business is affected by prices of steel and electronic components. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as multiple sourcing, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (3) Raw Material Prices Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning raw material prices, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Group's policy for the procurement of key parts is to secure multiple sources of supply.

4 Business and Other Risks — (4) Dependence on Specific Customers Risk

The Group's business is affected by the purchasing policies of major customers. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as strengthening of monitoring systems, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (4) Dependence on Specific Customers Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning dependence on specific customers, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Group shares its production plans through regular liaison meetings with partner companies.

4 Business and Other Risks — (5) Information Security Risk

The Group's business is affected by production stoppages caused by cyber attacks. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as multiple sourcing, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Each of the production bases have obtained environmental management certification.

4 Business and Other Risks — (5) Information Security Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning information security, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

4 Business and Other Risks — (6) Quality Risk

The Group's business is affected by serious defects in products. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

At each plant, cost reduction activities are promoted with the participation of all employees.

4 Business and Other Risks — (6) Quality Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning quality, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

4 Business and Other Risks — (7) Intellectual Property Risk

The Group's business is affected by rights disputes with third parties. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (7) Intellectual Property Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning intellectual property, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

Production facilities are inspected in accordance with an annual maintenance program.

4 Business and Other Risks — (8) Securing Human Resources Risk

The Group's business is affected by recruitment and retention of engineers. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as insurance coverage, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

This policy was not changed during the current consolidated fiscal year.

4 Business and Other Risks — (8) Securing Human Resources Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning securing human resources, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

Training hours per employee for the current consolidated fiscal year were 32.5 hours.

4 Business and Other Risks — (9) Natural Disasters Risk

The Group's business is affected by damage to production bases. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (9) Natural Disasters Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning natural disasters, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

4 Business and Other Risks — (10) Laws and Regulations Risk

The Group's business is affected by export control regulations in each country. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as forward exchange contracts, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (10) Laws and Regulations Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning laws and regulations, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The number of patents held by the Group as of the end of the current consolidated fiscal year was 1,860.

4 Business and Other Risks — (11) Litigation Risk

The Group's business is affected by product liability claims. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as strengthening of monitoring systems, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Maintenance costs for production facilities are expensed as incurred.

4 Business and Other Risks — (11) Litigation Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning litigation, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

4 Business and Other Risks — (12) Country Risk Risk

The Group's business is affected by the political situation at overseas bases. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as insurance coverage, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Purchased materials are released to the production process after acceptance inspection.

4 Business and Other Risks — (12) Country Risk Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning country risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

4 Business and Other Risks — (13) Environmental Risk

The Group's business is affected by greenhouse gas emission regulations. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as insurance coverage, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (13) Environmental Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning environmental, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The criteria for incoming inspection are established according to the importance of the material.

4 Business and Other Risks — (14) Impairment of Fixed Assets Risk

The Group's business is affected by a decline in profitability. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

The Board of Directors have approved the budget for the next fiscal year.

4 Business and Other Risks — (14) Impairment of Fixed Assets Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning impairment of fixed assets, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Group requests that cooperating suppliers comply with its code of conduct.

4 Business and Other Risks — (15) Retirement Benefit Obligations Risk

The Group's business is affected by fluctuations in the discount rate. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (15) Retirement Benefit Obligations Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning retirement benefit obligations, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

4 Business and Other Risks — (16) Credit of Business Partners Risk

The Group's business is affected by collection of trade receivables. If these change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as multiple sourcing, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

4 Business and Other Risks — (16) Credit of Business Partners Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning credit of business partners, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The costs required for proactive servicing are included in the cost of sales.

Part 3 Property, Plant and Equipment

1 Major Facilities — Head Office (Tokyo)

Buildings and structures (Millions of yen)	10,600
Machinery (Millions of yen)	8,100
Land (Millions of yen)	4,200
Number of employees (Persons)	537

This site belongs to the Electronic Components business and is responsible for inspection.

These transactions are conducted on ordinary trading terms.

1 Major Facilities — Atsugi Plant (Kanagawa)

Buildings and structures (Millions of yen)	16,400
Machinery (Millions of yen)	20,600
Land (Millions of yen)	1,100
Number of employees (Persons)	1099

This site belongs to the Measurement and Control business and is responsible for inspection.

The yield rate of the mainstay products improved in the current consolidated fiscal year.

1 Major Facilities — Suwa Plant (Nagano)

Buildings and structures (Millions of yen)	20,700
Machinery (Millions of yen)	29,700
Land (Millions of yen)	6,700
Number of employees (Persons)	921

This site belongs to the Measurement and Control business and is responsible for processing.

1 Major Facilities — Mito Plant (Ibaraki)

Buildings and structures (Millions of yen)	13,100
Machinery (Millions of yen)	5,200
Land (Millions of yen)	7,800
Number of employees (Persons)	505

This site belongs to the Measurement and Control business and is responsible for research and development.

The training hours of 35.2 hours referred to above increased from the previous consolidated fiscal year.

1 Major Facilities — Thailand Plant

Buildings and structures (Millions of yen)	12,800
Machinery (Millions of yen)	25,100
Land (Millions of yen)	5,100
Number of employees (Persons)	339

This site belongs to the Precision Equipment business and is responsible for research and development.

1 Major Facilities — European Base

Buildings and structures (Millions of yen)	21,500
Machinery (Millions of yen)	31,600
Land (Millions of yen)	6,500
Number of employees (Persons)	277

This site belongs to the Materials business and is responsible for processing.

Part 4 Information about the Reporting Company

1 Information on Shares

The total number of authorized shares is 400,000,000 and the total number of issued shares is 148,600,000. There was no change in the total number of issued shares during the current consolidated fiscal year.

The Group expanded its production capacity in order to accomodate the increase in demand.

1 Information on Shares (Major Shareholders)

The Master Trust Bank of Japan, Ltd.	18,900 thousand shares	12.7%
Custody Bank of Japan, Ltd.	13,400 thousand shares	9.0%
Mitsuba Electric Co., Ltd.	7,200 thousand shares	4.8%
Aoi Seiki Employee Shareholding Association	4,100 thousand shares	2.8%

The number of shareholders as of the end of the current consolidated fiscal year was 18,420.

2 Dividend Policy

The Company's basic policy is to continue stable dividends with a consolidated payout ratio of 30% as a guideline. The annual dividend per share for the current consolidated fiscal year was 45 yen (interim 22 yen, year-end 23 yen).

The Company's policy is to allocate internal reserves to capital investment and research and development in growth fields.

3 Directors and Officers (1)

Kenji Tanaka	Audit and Supervisory Committee Member	5/1969
Yukiko Mori	Director	3/1971
Ryo Onishi	Audit and Supervisory Committee Member	6/1955
Robert Kim	Executive Officer	6/1975

3 Directors and Officers (2)

Makoto Sato	Director	2/1974
Naoko Takahashi	Audit and Supervisory Committee Member	3/1961
Manabu Ito	Audit and Supervisory Committee Member	4/1971
Chinatsu Watanabe	Executive Officer	10/1965

3 Directors and Officers (3)

Hiroshi Nakamura	Audit and Supervisory Committee Member	10/1972
Asuka Kobayashi	Director	8/1969
Takashi Kato	Audit and Supervisory Committee Member	4/1971
Masumi Yoshida	Director	5/1973

An improvement in production yield contributes directly to lowering the cost of sales.

3 Directors and Officers (4)

Kohei Yamada	Executive Officer	5/1956
Yuki Matsumoto	Audit and Supervisory Committee Member	1/1962
Tsuyoshi Inoue	Audit and Supervisory Committee Member	4/1969
Ayako Shimizu	Director	4/1966

This measures were implemented in the second half of the current consolidated fiscal year.

3 Directors and Officers (5)

Toru Saito	Executive Officer	7/1964
Shiori Murakami	Outside Director	3/1963
Daisuke Hayashi	Director	8/1971
Kaori Uchida	Audit and Supervisory Committee Member	8/1966

4 Status of Corporate Governance — Overview of Corporate Governance

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on overview of corporate governance is reviewed annually by the Board of Directors.

4 Status of Corporate Governance — Internal Control System

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on internal control system is reviewed annually by the Board of Directors.

4 Status of Corporate Governance — Status of Audits

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on status of audits is reviewed annually by the Board of Directors.

4 Status of Corporate Governance — Remuneration of Officers

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on remuneration of officers is reviewed annually by the Board of Directors.

Of the 1,680 patents held by the Group, approximately 40% are registered overseas.

4 Status of Corporate Governance — Status of Shareholdings

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on status of shareholdings is reviewed annually by the Board of Directors.

These estimates are calculated based on past results.

Part 5 Financial Information

The Company's consolidated financial statements are prepared in accordance with the "Regulations on the Terminology, Forms and Preparation Methods of Consolidated Financial Statements." Amounts are rounded down to the nearest million yen.

1 Consolidated Balance Sheet (Assets)

Account	Previous FY	Current FY
Cash and deposits	76,500	86,900
Notes and accounts receivable-trade	112,300	118,900
Inventories	94,700	99,200
Other current assets	21,300	22,100
Total current assets	304,800	327,100

1 Consolidated Balance Sheet (Assets, continued)

Account	Previous FY	Current FY
Property, plant and equipment	186,400	184,900
Intangible assets	28,100	26,700
Investments and other assets	47,500	46,500
Total non-current assets	262,000	258,100
Total assets	566,800	585,200

The status of implementation of the preservation plan is reported quarterly to the management meeting.

2 Consolidated Balance Sheet (Liabilities)

Account	Previous FY	Current FY
Notes and accounts payable-trade	98,400	101,200
Short-term borrowings	62,000	58,000
Other current liabilities	43,100	46,700
Total current liabilities	203,500	205,900
Long-term borrowings	108,000	103,600
Total non-current liabilities	134,400	131,790

2 Consolidated Balance Sheet (Net Assets)

Account	Previous FY	Current FY
Shareholders' equity	221,400	239,300
Accumulated other comprehensive income	7,500	8,210
Total net assets	228,900	247,510
Total liabilities and net assets	566,800	585,200

(Note) Equity is the amount obtained by deducting share acquisition rights and non-controlling interests from total net assets.

3 Consolidated Statement of Income

Account	Previous FY	Current FY
Net sales	428,090	458,921
Cost of sales	331,700	352,400
Gross profit	96,390	106,521
Selling, general and administrative expenses	67,790	74,071
Operating income	28,600	32,450

The Company has taken the neccessary safety measures.

3 Consolidated Statement of Income (continued)

Account	Previous FY	Current FY
Non-operating income	2,100	2,400
Non-operating expenses	3,300	3,950
Ordinary income	27,400	30,900
Total income taxes	8,000	8,700
Profit attributable to owners of parent	19,050	21,880

4 Consolidated Statement of Comprehensive Income

Account	Previous FY	Current FY
Profit	19,400	22,200
Other comprehensive income	1,200	710
Comprehensive income	20,600	22,910

5 Consolidated Statement of Changes in Equity (1)

Account	Previous FY	Current FY
Share capital	32,000	32,000
Capital surplus	41,200	41,200
Retained earnings	152,300	168,000
Treasury shares	-4,100	-1,900

5 Consolidated Statement of Changes in Equity (2)

Account	Previous FY	Current FY
Share capital	32,000	32,000
Capital surplus	41,200	41,200
Retained earnings	152,300	168,000
Treasury shares	-4,100	-1,900

6 Consolidated Statement of Cash Flows

Account	Previous FY	Current FY
Profit before income taxes	27,400	30,900
Depreciation	18,200	19,800
Increase/decrease in trade receivables	-5,100	-6,600
Increase/decrease in inventories	-3,800	-4,500
Net cash provided by operating activities	37,600	41,200

Training related to the succession of techniques is conducted systematically throughout the year.

6 Consolidated Statement of Cash Flows (continued)

Account	Previous FY	Current FY
Purchase of property, plant and equipment	-19,800	-22,600
Net cash used in investing activities	-16,400	-18,500
Dividends paid	-5,900	-6,400
Net cash used in financing activities	-11,800	-12,300
Cash and cash equivalents at end of period	76,500	86,900

The Group's net sales in Asia has grown steadily over the past three years.

7 Notes — Scope of Consolidation

With respect to scope of consolidation, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 4,200 million yen.

7 Notes — Application of the Equity Method

With respect to application of the equity method, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 4,500 million yen.

7 Notes — Significant Accounting Policies

With respect to significant accounting policies, the Group applies the principle-based method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 3,200 million yen.

7 Notes — Valuation of Securities

With respect to valuation of securities, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 8,700 million yen.

7 Notes — Valuation of Inventories

With respect to valuation of inventories, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 900 million yen.

7 Notes — Depreciation of Fixed Assets

With respect to depreciation of fixed assets, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 7,700 million yen.

The term of this contract is five years.

7 Notes — Treatment of Deferred Assets

With respect to treatment of deferred assets, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 6,700 million yen.

The equipment operating ratio is monitored on a daily basis by the production control department.

7 Notes — Basis for Recording Provisions

With respect to basis for recording provisions, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 9,700 million yen.

The results of cost saving initiatives are compiled on a quarterly basis.

7 Notes — Retirement Benefits

With respect to retirement benefits, the Group applies the straight-line method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 8,800 million yen.

7 Notes — Hedge Accounting

With respect to hedge accounting, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 9,600 million yen.

7 Notes — Revenue Recognition

With respect to revenue recognition, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 1,300 million yen.

7 Notes — Income Taxes

With respect to income taxes, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 8,900 million yen.

This policy has been applied from the beginning of the current consolidated fiscal year.

7 Notes — Lease Transactions

With respect to lease transactions, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 8,100 million yen.

7 Notes — Financial Instruments

With respect to financial instruments, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 6,600 million yen.

7 Notes — Securities

With respect to securities, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 5,100 million yen.

Shortening the period required for trial production assessment is an issue in development.

7 Notes — Derivative Transactions

With respect to derivative transactions, the Group applies the straight-line method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 5,300 million yen.

7 Notes — Stock Options

With respect to stock options, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 7,900 million yen.

7 Notes — Tax Effect Accounting

With respect to tax effect accounting, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 3,200 million yen.

There is no significant differences between the two methods.

7 Notes — Business Combinations

With respect to business combinations, the Group applies the principle-based method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 5,800 million yen.

7 Notes — Asset Retirement Obligations

With respect to asset retirement obligations, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 6,100 million yen.

7 Notes — Rental Properties

With respect to rental properties, the Group applies the principle-based method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 2,300 million yen.

Subcontracting expenses are managed centrally by the purchasing department.

7 Notes — Significant Subsequent Events

With respect to significant subsequent events, the Group applies the principle-based method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 5,000 million yen.

The ratio of overseas net sales of 34.8% increased from the previous consolidated fiscal year.

8 Segment Information (1)

Industrial Machinery	38,500	2,300
Precision Equipment	52,300	3,400
Electronic Components	68,900	4,900

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

The payback period for energy conservation investment is generally set at around five years.

8 Segment Information (2)

Precision Equipment	52,300	3,400
Electronic Components	68,900	4,900
Measurement and Control	81,200	5,800

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

These figures are calculated based on internal management materials.

8 Segment Information (3)

Electronic Components	68,900	4,900
Measurement and Control	81,200	5,800
Materials	98,400	7,150

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

8 Segment Information (4)

Measurement and Control	81,200	5,800
Materials	98,400	7,150
Services	119,621	8,900

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

8 Segment Information (5)

Materials	98,400	7,150
Services	119,621	8,900

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

9 Related Party Information

There were no significant related party transactions to be disclosed in the current consolidated fiscal year.

There were also no significant transactions with officers or major shareholders to be disclosed.

The replacement of tooling equipment is carried out in line with production plans.

10 Per Share Information

Net assets per share (Yen)	1,540.20	1,665.60
Profit per share (Yen)	128.20	147.24

(Note) Diluted profit per share is not presented because there are no dilutive shares.

The level of buffer inventory is reviewed periodically in light of demand trends.

11 Supplementary Schedules — Schedule of Securities

Category 1	34,100	1,200
Category 2	22,400	3,500
Category 3	3,500	4,300
Category 4	6,500	7,400

The department responsible for procurement evaluates its suppliers.

11 Supplementary Schedules — Schedule of Property, Plant and Equipment

Category 1	7,200	6,100
Category 2	10,800	6,000
Category 3	38,200	10,500
Category 4	32,500	1,500

11 Supplementary Schedules — Schedule of Bonds

Category 1	17,800	5,700
Category 2	19,600	800
Category 3	1,400	10,000
Category 4	28,000	6,700

11 Supplementary Schedules — Schedule of Borrowings

Category 1	13,500	2,200
Category 2	3,200	10,000
Category 3	27,300	3,700
Category 4	10,700	900

11 Supplementary Schedules — Schedule of Provisions

Category 1	12,700	300
Category 2	33,000	7,900
Category 3	14,200	3,900
Category 4	35,300	4,400

11 Supplementary Schedules — Schedule of Asset Retirement Obligations

Category 1	21,400	4,200
Category 2	15,000	2,700
Category 3	38,000	4,200
Category 4	25,200	7,900

Part 6 Outline of Share Handling

Fiscal year	From April 1 to March 31 of the following year
Ordinary general meeting	Every June
Record date	March 31, 2026
Shares per unit	100 shares
Method of public notice	Electronic public notice

The results of the impairment indicator assessment was reviewed by the accounting department.

Part 7 Reference Information

1 Principal Consolidated Subsidiaries

Aoi Seiki Techno Co., Ltd.	Atsugi, Kanagawa	100.0%
Aoi Seiki (Thailand) Co., Ltd.	Kingdom of Thailand	100.0%
Aoi Seiki Europe GmbH	Federal Republic of Germany	90.0%
Aoi Measurement Co., Ltd.	Suwa, Nagano	100.0%

2 Employees

The number of employees at the end of the current consolidated fiscal year was 3,214, an increase of 74 from the end of the previous consolidated fiscal year. The average age was 41.8, the average length of service was 15.2 years, and the average annual salary was 7,120 thousand yen.

Part 8 Other Information

The Company holds financial results briefings twice a year to promote constructive dialogue with investors. The Company has posted the briefing materials on its website.

Forward-looking statements in this report are based on judgments made by the Company as of the end of the current consolidated fiscal year.

Contact: Aoi Seiki Co., Ltd., Corporate Planning Department, IR Section